



PAPER – 6

INTEGRATED BUSINESS SOLUTIONS



QUESTIONS

Case Study - 1

CLASSIC DEALERSHIP

Two brothers, Ravi and Raju Sinha established Classic Dealership (CD), a partnership that is a bike dealership with its main office in Mumbai. The dealership imports premium bikes from countries like China, Taiwan, Japan, Germany among others. These are luxury bikes, that are purchased by avid bikers who ride them extensively for recreational and off-road adventures. The dealership has state of art service network that is spread all across India to take care of after sale service and maintenance of bikes. Both brothers are active working partners in the business.



Ravi Sinha is of the opinion that "the purpose of a business is to acquire and retain a customer. In order to run a profitable and sustainable business, we must be able to determine the net profit that can be attributed to the future relationship with a customer. "

Based on the buying preferences and culture, the dealership categorizes its loyal customers into two categories: Good and Excellent.

Customer profile for imported bikes

Age analysis of customers taken by CD reveals a general statistical estimate that a person may become the first customer by buying a bike when he attains 20 years of age and rides bikes until he reaches the age of 40 years and 3

months. It is further observed that the "Good" category customers would not prefer waiting to purchase the bike beyond 5 years.

Relevant details pertaining to the sale price and profit margin from the sale of imported bikes are given in Annexure 1.

Brand endorsement to increase the share of "Excellent" customers for the sale of imported bikes

Ravi came up with the idea of engaging Formula 1 bike racing icons to promote the bikes that are being imported. This brand endorsement would cost the dealership ₹ 25 crore over a period of time. Ravi, a conservative analyst by nature predicts that this brand endorsement is likely to turn 500 customers who attain 30 years of age, and who are bound to be otherwise "Good" customers into "Excellent" customers.

Dealership of Electric Bikes

Due to its clean energy technology, low pollution emission, the popularity of electric bikes is increasing within India. Currently, Coco Motors Limited, Zoho Motors Limited and Polo Motors Limited are three companies who manufacture bikes for the domestic market. Although the market is still in its nascent stage, Raju Sinha expects electric bikes to become popular very soon. The market for imported bikes caters to a niche market primarily consisting of avid bikers. Electric bikes can cater to a larger customer segment ranging since these bikes can be used for regular daily commute, which is a very basic requirement for a large section of the population within India. Therefore, the market for these bikes will be much larger as compared to imported bikes. Therefore, Raju Sinha proposes to that CD should start a dealership of such electric bikes in the upcoming year 2026-27.

While both partners are enthusiastic about the proposal, they wish to make a thorough analysis of this venture. Being still nascent in India, electric bike market can be subject to a lot of risks and volatility. Hence, they initially plan to start this venture only for 4 years and extend it if found successful. Further, they wish to do a sensitivity analysis of the project to understand the impact of fluctuations on initial project cost, annual cash inflow and cost of capital. Details of the project are given in Annexure 2.

Strategy to maintain sustained customer relationship for electric bikes

CD aims to build a large dealership of electric bikes. In order to develop and maintain customer relationship, it plans the following measures to appeal to and appease them. Firstly, CD plans to increase public awareness about the environmental benefits of using electric bikes. This will appeal to the environmentally conscious customers. Secondly, CD's sales and marketing team feel that electric bikes would be most appealing to youth and young professionals below 35 years of age. For this segment the team determines that owning a car would not yet have become necessary. Further, CD plans to use digital marketing to reach out to potential customers across India. In Addition to above strategic measures, CD also plans to provide annual maintenance contracts for these electric bikes. Hence, their sales team is being trained to cross sell these AMCs at attractive rates, once the warranty period for the electric bike is over.

Remuneration to partners for FY 2025-26 as authorized by the partnership deed

Classic Dealership has earned a net profit of ₹ 11 crores for the year ended 31st March, 2025. This is before deduction of certain items. These items include Salary of ₹ 5,00,000 each per month payable to the working partners Ravi and Raju Sinha. This has been authorized by the deed of partnership. Additionally, Depreciation on plant and machinery under section 32 (computed) ₹ 8 crores, has not yet been deducted. The profit also does not account for Interest on capital @15% per annum as per the deed of partnership. The amount of capital eligible for interest is ₹ 10 crores. Further, When Classic Dealership was incorporated, the partnership deed allowed a salary payout to each of the working partners only to the extent of ₹ 2,00,000 each per month. The partnership deed was amended on 1st April 2024 to allow for salary payment of ₹ 5,00,000 each per month payable to Ravi and Raju. The current amended partnership deed also allowed for a salary payout of ₹ 25,00,000 each to Ravi and Raju as extra payment towards salary of the previous years that is prior to F.Y. 2024-25.

Warranty replacement of electric bike or its parts and repair services during warranty period

As proposed, CD started a dealership of electric bikes- manufactured by Coco Motors Limited, Zoho Motors Limited and Polo Motors Limited from

April 1, 2026. During the warranty period CD replaces certain parts or provides services to its customers on behalf of the manufacturers.

As per the arrangement with Coco Motors Limited, CD replaces the bikes or its parts to the customer under warranty either by using its stock or by buying from a third party vendor. It charges the consideration for the part(s) so replaced from Coco Motors Limited, by the issuance of a tax invoice, for the said supply made by itself to the company.

Whereas in the case of Zoho Motors Limited, CD raises a requisition to the manufacturer for the bike or its parts to be replaced by it under warranty. Zoho Motors Limited then provides the bike or its parts to CD for the purpose of such replacement to the customer as part of warranty without separately charging any consideration at the time of such replacement.

As per the terms with Polo Motors Limited, CD replaces the bike or its part(s) to the customer under warranty out of the supply already received by it from the company. Polo Motors Limited then issues a credit note in respect of the bike or part(s) so replaced subject to the provisions of section 34(2) of the CGST Act, 2017.

Further, CD provides repair services in addition to replacement of bike or its parts to the customer without any consideration, as part of warranty. This is done for bikes sold on behalf of all the three manufacturers Coco Motors Limited, Zoho Motors Limited and Polo Motors Limited. CD then charges the respective manufacturer for such repair services either by way of issue of tax invoice or a debit note.

Extended warranty

Extended warranty is a service or maintenance agreement that provides against unexpected repair or break-down after the initial warranty period expires. Extended warranty can be availed by the customers either at the time of original supply or at any other time different from the original supply. Due to the cross selling efforts of the sales and marketing team at CD, almost 60% of the customers purchase the extended warranty from CD at the time of original supply. Many of the other customers purchase the extended warranty from CD after the original warranty period has ended. Yet few other customers prefer to purchase extended warranty from service providers other than CD.

Mr. Ravi has recently won a lottery prize this year and wishes to remit USD 30,000 from his lottery winnings to his son abroad. Also, he intends to obtain USD 50,000 to facilitate the travel expenses of a cultural troupe that he plans to send on a tour of the United States. Mr. Ravi approached CA. Abhishek, a well renowned expert and practitioner in foreign currency transactions and corporate laws, seeking consultation on above two important matters.

Annexure 1: Sale price and Profit margin from sale of imported bikes

Summary Analysis of Sale price and Profit margin from sale of imported bikes:			
Type of customer	Periodicity of buying	Selling Price per bike	Service/Maintenance charges
Good	1 bike every 5 years	₹ 6,00,000	₹ 1,00,000 per bike
Excellent	7 bikes as a whole from the date of his first buying	₹ 9,00,000	₹ 1,20,000 per bike per year

Profit margin:		
Profit margin	Good	Excellent
On sale of each bike	25%	30%
On service / maintenance charges	50%	60%

Annexure 2: Project details of dealership in electric vehicles

Dealership in Electric Vehicles
Project Overview: With the rise of clean energy technologies and increasing concerns about pollution, electric bikes are gaining rapid popularity in India. These eco-friendly vehicles offer a sustainable solution for daily commuting, appealing to a much broader market than imported premium bikes, which cater mainly to niche biking enthusiasts.

Key Financials:

Particulars	Details
Initial Project cost	₹ 13 crores
Annual Cash Inflow	₹ 5 crores
Project Life	4 years
Cost of capital	10%

Annuity factor for 10% for 4 years is 3.169, Annuity factor for 11% for 4 years is 3.103.

Strategic Highlights:

One of the key strategic advantages of entering the electric bike dealership market at this stage is the first-mover advantage. By establishing an early presence particularly in underdeveloped or semi-urban regional markets the venture can capitalize on limited competition, quickly building brand recognition and customer loyalty. These areas are often underserved, presenting an untapped opportunity for growth.

Multiple Choice Questions

- 1.1 With reference to CD's different efforts to maintain sustained customer relationship for electric bikes, categorize them to the most appropriate term of Customer Lifetime Value:

Sr. No.	Effort to maintain sustained customer relationship	Sr. No.	Appropriate term	CLV
i	Offering attractive options to exchange old electric bikes for newer one.	A	Customer Selection	
ii	Target youth and young professionals below 35 years	B	Customer Extension	
iii	Digital marketing to reach out to customers across India	C	Customer Retention	
iv	Cross selling annual maintenance contracts at attractive rates once the warranty period is over.	D	Customer Acquisition	

Options:

- (a) (i) – C, (ii) – A, (iii) – D and (iv) – B
- (b) (i) – A, (ii) – C, (iii) – D and (iv) – B
- (c) (i) – C, (ii) – A, (iii) – B and (iv) – D
- (d) (i) – D, (ii) – A, (iii) – C and (iv) – B

1.2 Ritwik Jain is an accountant working with classic dealership. He is computing the taxable income for the partnership for A.Y. 2025-26. He needs your help to with various tax calculations and other tax issues relating to A.Y. 2025-26. Which of the following statements are false?

- (i) No TDS is required to be deducted on salary and interest payments made to the working partners
- (ii) With respect to salary paid to the working partners, Ravi and Raju for the financial year 2024-25, the maximum allowable deduction under section 40(b)(v) is ₹ 1.098 crores for A.Y. 2025-26
- (iii) The extra salary payment made to Ravi and Raju as additional salary of the previous years that is prior to F.Y. 2024-25 is a deductible expense in A.Y. 2025-26 as it has been approved by the partnership deed on 1st April 2024
- (iv) With respect to salary paid to the working partners, Ravi and Raju for the financial year 2024-25, the maximum allowable deduction under section 40(b)(v) is ₹ 91.80 lakhs for A.Y. 2025-26

Options:

- (a) (i), (ii) and (iii)
- (b) (i) and (iv)
- (c) (iii) and (iv)
- (d) (i), (iii) and (iv)

1.3 For arrangements made with Coco, Zoho and Polo motors in respect of parts and repair services during warranty period, which of the following statements would be incorrect as per the GST Law:

- (a) In case of arrangement with Coco Motors Limited, GST would be payable by CD to the manufacturer.
 - (b) In case of arrangement with Zoho Motors Limited, no GST is payable on such replacement by the manufacturer.
 - (c) In case of arrangement with Polo Motors Limited, tax liability may be adjusted by the manufacturer subject to the condition that CD has reversed the ITC availed against the bike/parts
 - (d) In case of provision of repair services on behalf of all the manufacturers, no GST is payable by CD as such service is being done without charging consideration from the customer during the warranty period.
- 1.4 Which of the following statements is true with respect to the customer's purchase of extended warranty?
- (i) When the customer purchases extended warranty from CD at the time of original supply, it would be treated as a supply of service distinct from the original supply. CD would be liable to discharge GST liability applicable on such supply of services.
 - (ii) When the customer purchases extended warranty from CD at the time of original supply, it would be treated as composite supply, the principal supply being the supply of the bike and GST would be payable accordingly.
 - (iii) When the customer purchases extended warranty from CD at a time after/different from the original supply, the same shall be treated as a composite supply, the principal supply being the supply of the bike and GST would be payable accordingly.
 - (iv) When the customer purchases extended warranty from service providers other than CD, then the supply of extended warranty will be treated as a separate supply from the original supply of bike and will be taxable as supply of services.

Options:

- (a) (i) and (iv)
- (b) (ii) and (iv)

- (c) (ii) and (iii)
 - (d) (iii) and (iv)
- 1.5 While placing the order for a bike at CDs showroom, a customer has to present certain documents for verification. At times, the sales person asks for the same documents like driver's license, identity and address proof repeatedly for using it for different forms. As per Kano model which of the following quality or attribute does this repetitive request for the same document represent?
- (a) Performance attribute
 - (b) Threshold attribute
 - (c) Reverse quality
 - (d) Indifferent quality

Descriptive Question

- 1.6 Based on the CD's operation, Answer the following:
- (a) In light of Ravi Sinha's opinion that a business must be able to know the net profit attributable to the future relationship with a customer, RECOMMEND steps that can be used to determine the Customer Lifetime Value (CLV) of a particular customer.
 - (b) CALCULATE the life time value of a "Good" customer who is 20 years of age.
 - (c) CALCULATE the life time value of an "Excellent" customer who is 25 years of age.
 - (d) ADVISE whether the brand endorsement program is worth ₹ 25 crores.

Note for questions (b) and (c), Ignore the Net Present Value of money and tax implications. Assume the service and maintenance charges will be incurred on the last day of the year. Charges will be prorated if the contract is for less than a year.

- 1.7 The Company is interested in the sensitivity analysis of key financials related to the dealership of electric bikes, ADVISE which among the

three factors except project life is most sensitive factor assuming an adverse change of 10%.

- 1.8 Mr. Ravi approached CA. Abhishek, to seek expert advice and to understand the regulatory requirements and permissible procedures under FEMA laws to ensure these transactions comply with all legal norms. What ADVICE should CA. Abhishek provide?

Case Study - 2

RATHVAAN

Founding Vision and Team Expansion



When Rahul Mehta, CEO of Rathvaan Pvt. Ltd., returned to his hometown of Agra after completing his mechanical engineering in Delhi, he envisioned a full-service automotive company that could serve urban families, corporate fleets, and commercial clients alike. Early in his career, Mehta led efficiency-driven projects at a leading OEM

supplier, refining assembly workflows and quality controls. Motivated by the challenge of delivering dependable vehicles across India's diverse markets, he founded Rathvaan Pvt. Ltd. in Agra in 2003 with a small team of engineers and a basic workshop. Today, the company employs hundreds of people and is governed by a Board of ten directors. Considering this rapid growth, the Board of Rathvaan Pvt. Ltd. resolved to induct six more directors, including two designated as independent directors pursuant to an internal governance charter adopted by the Board and a shareholders' agreement signed by all existing members.

The company convened an Extraordinary General Meeting on April 15, 2025, with notice dated 6th April 2025, to pass a special resolution to approve these appointments. The notice was published in vernacular and English newspaper and uploaded on the company's website but not dispatched to members and no explanatory statement accompanied the notice. The two independent director appointees were not registered in the databank at the time of the

EGM but had applied for registration by 15th May 2025. DIR-12 filings for all six appointees were made on 30th April 2025, with attachments including the Board resolutions and consents. The Articles of Association limited the number of directors to 12 at the time of appointment. A special resolution to approve the appointments was passed unanimously at the EGM.

A few months earlier, at the AGM held on September 29, 2024, Mr. Ranvir's appointment to fill the casual vacancy was not proposed/approved, as the Board was of the view that it is not required now or even subsequently. Originally, Mr. Rishi had joined the Board as a Non-Executive Director for a three-year term at the AGM on September 30, 2022. However, on 2nd October, 2023, Mr. Rishi suffered a severe heart failure and expired. The Board of Directors of the company on 16th October, 2023 appointed Mr. Ranvir for a term of three years to fill the casual vacancy so created. The CFO of the company is of the opinion that the Board of Directors have contravened the provisions of the Companies Act, 2013 in respect of non-approval of the appointment of Mr. Ranvir and his office tenure.

Operational Model and Service Portfolio

Leveraging its talented leadership bench and workforce, Rathvaan has streamlined operations and introduced a broader array of services. This foundation has propelled the company over the past two decades to become a leading manufacturer of cars in India's automotive sector and a registered supplier in Agra, known for its end-to-end



vehicle design, production, and delivery services. The Company oversees a comprehensive ten-month operational cycle from the procurement of raw materials to the completion of passenger-vehicle assembly and final delivery while customers settle their dues after a period of 10 months from the date of sale. Rathvaan offers a diverse lineup of vehicles, with a particular focus on fuel-efficient family sedans, compact SUVs, and light commercial vans, complemented by garage-door solutions (details of Garage door installation services provided by Rathvaan are attached as **Annexure I**) for residential and commercial clients. Their offerings meet the needs of individual, fleet, and corporate clients, providing tailored financing and after-sales support. This disciplined production and payment structure is central to the Company's

value proposition, ensuring predictable cash flows and long-term customer trust and aligns with its ambitious expansion plans to venture into new service domains.

Expanding Services Through Acquisition of Yatrik

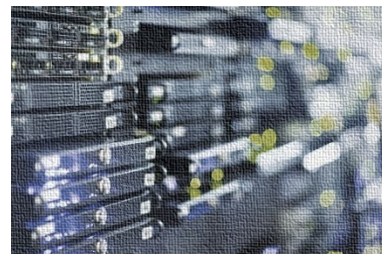


As part of its strategic expansion and service-chain optimization, Rathvaan Pvt. Ltd. has undertaken a targeted acquisition in the travel sector. Rathvaan decided to acquire Yatrik, a tour-operations company specializing in curated travel packages, adventure tours, and end-to-end trip management services across India. This forward integration move is aimed at integrating Yatrik's platform with Rathvaan's

vehicle sales and after-sales services to create bundled mobility and leisure offerings. Through this acquisition, Rathvaan said it hopes to enhance its service portfolio and operational efficiency by leveraging its nationwide dealer network alongside Yatrik's core technological capabilities. Rathvaan initially acquired 8% of the equity share capital of Yatrik On 1st April 2023, for ₹92,000. Rathvaan accounts for its investment in Yatrik at Fair Value through OCI. On 31st March 2024, Rathvaan carried its investment in Yatrik at fair value and reported an unrealised gain of ₹ 8,000 in other comprehensive income, which was presented as a separate component of equity. On 1st April 2024, Rathvaan obtains control of Yatrik by acquiring the remaining 92 percent of Yatrik. After acquiring Yatrik, the founder, Rahul Mehta, turned his attention to Rathvaan's own manufacturing capabilities, prioritizing capacity expansion and equipment upgrades.

Modernizing Infrastructure and Equipment Upgrades

Rathvaan's aging IT infrastructure and plans to expand its car manufacturing operations led the company to invest ₹ 5 lakh on 1 May 2020 in several new computers of the latest models. All equipment was insured with United Bharat Assurance Ltd. against fire, flood, earthquake, and other risks under a reinstatement clause requiring the insurer to pay the computers' value as of the date of fire etc., in



case of destruction or loss. By 1 April 2024, the written-down value of these assets stood at ₹ 2,12,150. In August 2024, a fire broke out in Rathvaan's facility, destroying all computer systems, which remained unreplaced as of 31 March 2025 because Rathvaan awaited the release of newer models. Rathvaan received the full ₹5 lakh insurance payout on 15 March 2025, but no additional computers were purchased during FY 2024-25.

Building on its drive to replace old equipments and expand capacity, Rathvaan decided to discard an obsolete injection molding machine (used for producing plastic dashboards, bumpers, and interior trim) in June 2024 to improve operational efficiency. This discarded machinery belonged to the block of Plant & Machinery chargeable to depreciation @ 15%, which has 10 different machinery items as at 31 March 2025. For A.Y. 2025-26, Rathvaan claimed total depreciation of ₹ 20 lakhs which includes ₹ 2 lakhs being the depreciation claimed on the machinery item discarded. The A.O. disallowed the claim of depreciation of ₹ 2 lakhs during the course of scrutiny assessment.

The Cashier committed fraud and absconded with the proceeds. The Chief Accountant was unaware of when the fraud occurred. During the audit, the auditor failed to discover the fraud. However, after completion of the audit, the Chief Accountant discovered the fraud, and an investigation indicated that the auditor did not exercise proper skill and care, performing the work in a desultory and haphazard manner.

Details of Sales Made to Key Customers and Related Outcomes

 High-Performance Engines Sold to Chola Ltd.	During the year 2024-25, Rathvaan sold 10 high-performance petrol engines to Chola Ltd., a long-standing client in the logistics and distribution industry, for a total consideration of ₹ 5 lakhs. The payment is receivable in three instalments: ₹ 1,66,666 on 1st April 2024, ₹ 1,66,667 on 31st March 2025, and ₹ 1,66,667 on 31st March 2026. The company is offering a discount of 5 % (i.e. ₹ 25,000) if payment is made in full at the time of
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	sale. The sale agreement reflects an implicit interest rate of 5.36% p.a. The total consideration to be received from such sale is at ₹ 5 Lakhs and hence, the management has recognised the revenue from sale of goods for ₹ 5 lakhs for the year 2024-25.
 Delivery Vans Supplied to Trackon Pvt. Ltd.	On 20th March 2025, Rathvaan issued tax invoice for two light commercial delivery vans valued at ₹ 10 lakh each (excluding GST 28%) to Trackon Pvt. Ltd., a registered courier and logistics provider based in Firozabad. However, no underlying supply of vans was made. Subsequently, ITC was availed based on said invoice by Trackon Pvt Ltd. and utilised for payment of its tax liability in respect of its outward supplies of taxable goods.
 SwiftEx Sedan Sold to Mr. Amber	On 30 September 2024, Rathvaan supplied a Rathvaan SwiftEx sedan to Mr. Amber. On 1 January 2025, the company was notified that Mr. Amber had initiated legal action against the company in respect of a financial losses allegedly caused by defects in the vehicle. Rathvaan defended the case but considered, based on the progress of the case up to 31st March 2025, that there was a 75% probability they would have to pay damages of ₹ 8 lakhs to the customer. However, the accountant of Rathvaan has not recorded this transaction in its financial statement as the case is not yet finally settled. The financials have been approved by the Board of Directors in its meeting held on 18th May 2025. (The Supreme Court's judgment on this case has been widely reported in the newspapers-see Annexure II.)

Annexure – I

Garage Door Installation Services Provided by Rathvaan Pvt. Ltd. during the month of April 2024

	Part	Install	Replace	Adjust	Lubricate	Total
	Door	3	6	2	1	12
	Motor	4	3	17	10	34
	Track	6	1	7	7	21
	Trimmer	15	7	1	1	24
	T-Lock	6	1	2	1	10
	Miscellaneous	1	3	2	2	8
	Total	35	21	31	22	109

The team provides installations, replacements, adjustments, and lubrication services across various garage door components.

Annexure – II

**The State News****Supreme Court Directs Rathvaan to Pay ₹10 Lakh Compensation for Defective Car**

June 1, 2025, New Delhi – In a landmark consumer-protection judgment, the Supreme Court of India has directed Rathvaan Pvt. Ltd., a prominent car manufacturer, to pay ₹ 10 lakh in compensation to a customer who suffered financial losses after purchasing a defective vehicle.

The bench—led by Justices R. Vasudevan and N. Banerjee—held that the defects in the car supplied on 30 September 2024 caused substantial economic harm and that Rathvaan failed to uphold the quality standards promised at the time of sale.

The customer initiated legal proceedings on 1 January 2025, seeking redress for repair costs, loss of use, and other incidental expenses. Despite Rathvaan's defense that the defects were minor, the Court found the company liable for breach of its statutory duty under the Consumer Protection Act.

The case was ultimately settled on 15th May 2025 against the company, resulting in the payment of ₹ 10 lakhs as damages to the customer. Accordingly, Rathvaan is required to deposit the compensation amount within eight weeks, failing which it will be liable to pay interest at 9% per annum. The Court also remarked: *"Manufacturers must ensure vehicles are fit for purpose before they reach consumers. A failure to do so invites both legal and financial consequences."*

Multiple Choice Questions

- 2.1 Based on facts given, you are required to determine, which of the following options is/are most appropriate with respect to invoice issued to Trackon Pvt Ltd. without underlying supply of vans.
- Penalty under section 122(1)(ii) of the CGST Act, 2017 is leviable on Rathvaan since it has issued invoice without underlying supply of goods.
 - Rathvaan is liable to demand and recovery of the tax payable on supply of delivery vans along with penal action under section 74A of the CGST Act, 2017, along with applicable interest under provisions of section 50.
 - Trackon Pvt Ltd. is eligible to avail ITC since it was in the possession of the tax invoice.
 - Trackon Pvt Ltd. is liable to demand and recovery of ITC fraudulently availed and utilised and along with penal action under section 74A of the CGST Act, 2017, along with applicable interest under provisions of section 50.
 - Trackon Pvt Ltd. is liable to demand and recovery of ITC fraudulently availed and utilised and along with penal action under section 74A and section 122(1)(vii) of the CGST Act, 2017, along with applicable interest under provisions of section 50.

Options

- (i) and (iii)
 - (ii) and (iv)
 - (i) and (v)
 - (i) and (iv)
- 2.2 How should Rathvaan account for its initial 8% investment in Yatrik upon acquiring the remaining 92% and obtaining control of Yatrik on 1st April 2024?
- Reclassify the ₹ 8,000 gain from OCI to the income statement.

- (b) Retain the ₹ 8,000 gain in OCI as per Ind AS 109 and include the fair value of the 8% investment and the new acquisition in acquisition accounting.
 - (c) Remeasure the 8% investment at cost and transfer the gain to retained earnings.
 - (d) Ignore the ₹ 8,000 gain entirely as it has no impact on the acquisition accounting.
- 2.3 Analyse the tax treatment with reference to destruction of computer systems by fire.
- (Cost inflation index for financial year 2020-21 and 2024-25 are 301 and 363, respectively)
- (a) Short term capital gains: ₹2,87,850
 - (b) Long term capital gains: ₹2,87,850
 - (c) Short term capital loss: ₹1,02,990
 - (d) Long term capital loss: ₹1,02,990
- 2.4 Analyse whether the accounting treatment made by the accountant with respect to legal action taken by the Mr. Amber against Rathvaan is in compliance of the Ind AS.
- (a) Not in compliance, A provision of ₹ 6 lakhs ($₹ 8 \text{ lakhs} \times 75\%$) should have been recognised at the reporting date, with no further adjustment.
 - (b) Not in compliance, An initial provision of ₹ 8 lakhs should have been recognised at 31 March 2025, and, as an adjusting event, the provision should then be increased to ₹10 lakhs and recognised as a current liability.
 - (c) In compliance, The matter is a contingent liability until the court ruling, therefore, no provision or adjustment is necessary.
 - (d) Not in compliance, An initial provision of ₹ 6 lakhs ($₹ 8 \text{ lakhs} \times 75\%$) should have been recognised at 31 March 2025, and, as an adjusting event, the provision should then be increased to ₹ 10 lakhs and recognised as a current liability.

2.5 Which of the following statements accurately characterize the fraud committed by cashier and auditor's due care while audit and the subsequent actions:

- (i) The auditor exhibited due diligence and careful conduct
- (ii) Clause (7) of Part I of Second Schedule to Chartered Accountants Act, 1949 and SA 240 are relevant in this situation
- (iii) The auditor failed to plan and perform the audit with an attitude of professional skepticism
- (iv) A Chartered Accountant in practice will be deemed guilty of professional misconduct based on clause (7) of Part II of the second schedule to Chartered Accountants Act, 1949

Options:

- (a) Only (iv)
- (b) Both (ii) & (iv)
- (c) Both (ii) & (iii)
- (d) Both (i) & (iii)

Descriptive Question

2.6 ANALYSE whether the accounting treatment made by the accountant with respect to sale of goods to Chola Ltd. is in compliance of the Ind AS. If not, advise the correct treatment along with working for the same.

2.7 Required:

- (i) With reference to the garage door installation services provided by Rathvaan Pvt. Ltd. during the month of April 2024, carry out a Pareto Analysis (80/20 rule) of Total Parts.
- (ii) Using the same data carry out the second level Pareto Analysis on the type of services with respect to Motors only.
- (iii) Give your RECOMMENDATIONS on the basis of your calculations in (i) and (ii) above.

(Do calculations to two decimals only)

- 2.8 DISCUSS the validity of action taken by AO in the matter of disallowance of depreciation.
- 2.9 ANALYSE whether the appointments were legally valid in light of the Companies Act, 2013 and relevant rules.
- (a) The board's appointment of six directors
 - (b) The board's appointment of Mr. Ranvir to fill the casual vacancy